Republic of the Philippines
City of Davao
Office of the Sangguniang Panlungsod
20th City Council
Committee Legislative Hearing Draft
Series of 2026

PRESENT:

Vice Mayor J. Melchor B. Quitain Jr.	- Presiding Officer
Councilor Marissa S. Abella	Councilor Louie John J. Bonguyan
Councilor Nilo M. Abellera Jr.	Councilor Pilar C. Braga
Councilor Luna Maria Dominique S. Acosta	Councilor Jonard C. Dayap
Councilor Bernard E. Al-ag	Councilor Edgar P. Ibuyan Jr.
Councilor Wilberto E. Al-ag	Councilor Richlyn N. Justol-Baguilod
Councilor Al Ryan S. Alejandre	Councilor Diosdado Angelo Junior R. Mahipus
Councilor Dante L. Apostol Sr.	Councilor Bonz Andre A. Militar
Councilor Conrado C. Baluran	Councilor Temujin B. Ocampo
Councilor Jessica M. Bonguyan	Councilor Myrna G. L'Dalodo-Ortiz

ABSENT:

Councilor Alberto T. Ungab	- On Official Business
Councilor Lorenzo Benjamin D. Villafuerte	- On Leave

PROPOSED ORDINANCE NO. 2026-05, SERIES OF 2026

Series of 2026

AN ORDINANCE PROMOTING STABILITY OF FOOD COMMODITY PRICES, PRESCRIBING MARKET MONITORING PROCEDURES IN PUBLIC AND PRIVATE MARKETS, PROHIBITING HOARDING, AND PROVIDING PENALTIES FOR VIOLATIONS THEREOF IN THE CITY OF DAVAO

Be it ordained by the Sangguniang Panlungsod of Davao City, in session assembled, that:

SECTION 1. TITLE - This Ordinance shall be known and cited as the 'Basic Food Commodities and Price Monitoring Ordinance of Davao City'.

SECTION 2. DECLARATION OF POLICY - Under Section 16 of Republic Act No. 7160 (The Local Government Code of 1991), local government units are authorized to protect public health and safety and promote economic prosperity and general welfare.

It is the policy of the City Government of Davao to ensure the constant availability of basic food necessities and prime commodities at fair prices, protect consumers from unfair trading practices, and prevent hoarding and artificial price manipulation in public markets and retail establishments throughout the city.

SECTION 3. DEFINITION OF TERMS - As used in this Ordinance, the following terms shall mean:

(a) Basic Necessities - refers to essential food items including rice, corn, fresh milk, fresh eggs, pork, beef, poultry meat, fresh vegetables, root crops, and cooking oil;

(b) Price Gouging - refers to the act of selling basic food necessities at prices significantly higher than the prevailing market price without justifiable economic reason;

(c) Hoarding - refers to the undue accumulation and holding back of basic food items from commercial channels of trade to create an artificial shortage and hike prices;

(d) Public Market - refers to city-owned public markets including Bankerohan, Agdao, Calinan, and Toril, as well as privately operated wet markets in Davao City;

(e) LPCC - refers to the Local Price Coordinating Council of Davao City.

SECTION 4. SCOPE AND COVERAGE - This Ordinance shall apply to all public and private wet markets, supermarkets, grocery stores, grain wholesalers, meat retailers, and food vendors operating within the territorial jurisdiction of Davao City.

SECTION 5. PRICE MONITORING AND DISPLAY OF PRICE TAGS - All retailers, market vendors, and commercial establishments selling basic food commodities shall clearly display price tags or price boards on all goods offered for sale.

Price tags must be written in legible characters indicating the price per kilogram or standard unit of measure, and goods shall not be sold at prices higher than those indicated on the price tag.

SECTION 6. PROHIBITION OF HOARDING AND ARTIFICIAL SHORTAGES - No wholesale dealer, distributor, or market vendor shall hoard, conceal, or withhold basic food necessities from the market, or collude with other traders to restrict supply and artificially inflate prevailing retail prices in the City of Davao.

Any establishment found possessing hoarded basic commodities shall be reported immediately to the City Mayor and the Department of Trade and Industry (DTI).

SECTION 7. MANDATORY CEILING PRICES ON BASIC COMMODITIES - Whenever prevailing market retail prices of basic necessities in Davao City experience sudden price increases or market volatility, the City Mayor, upon recommendation of the Local Price Coordinating Council (LPCC), is hereby authorized to establish, fix, and enforce mandatory maximum ceiling prices across all public markets, supermarkets, and retail stores in Davao City.

Any vendor or merchant who sells basic food items above the municipal ceiling prices fixed by the City Mayor shall be subject to immediate administrative closure and the penalties provided in this Ordinance.

SECTION 8. LOCAL PRICE COORDINATING COUNCIL FUNCTIONS - The Local Price Coordinating Council (LPCC) of Davao City, chaired by the City Mayor and co-chaired by the DTI Provincial Director, shall conduct regular weekly market price monitoring across all major trading centers in Davao City.

The LPCC shall publish weekly Prevailing Price Bulletins to guide consumers and ensure transparent market operations.

SECTION 9. TESTING AND CALIBRATION OF WEIGHING SCALES - All weighing scales used in public and private markets shall be inspected, tested, and sealed annually by the City Treasurer's Office.

The use of unsealed, defective, or tampered weighing scales is strictly prohibited. The City Economic Enterprise Office shall maintain 'Timbangan ng Bayan' weighing stations in all public markets for consumer verification.

SECTION 10. NOTICE OF VIOLATION - Any vendor found selling without price tags or using uncalibrated scales shall be issued a Notice of Violation by the City Treasurer or market administrator, directing immediate correction.

Failure to correct the infraction within forty-eight (48) hours shall result in confiscation of the defective scale and formal administrative sanctions.

SECTION 11. PENALTIES - Any person, merchant, or establishment who violates the provisions of this Ordinance shall, upon conviction, be punished by a fine of One Thousand Pesos (Php 1,000.00) for the first offense; Three Thousand Pesos (Php 3,000.00) for the second offense; and Five Thousand Pesos (Php 5,000.00) or imprisonment of up to six (6) months, or both, for the third offense.

In addition, the market stall award or Mayor's Business Permit may be revoked for repeated violations.

SECTION 12. SEPARABILITY CLAUSE - If any section or part of this Ordinance is held unconstitutional or invalid, other sections or provisions hereof not affected thereby shall continue in full force and effect.

SECTION 13. EFFECTIVITY - This Ordinance shall take effect fifteen (15) days after its complete publication in a newspaper of local circulation in Davao City.

ENACTED on Committee Review, by the Sangguniang Panlungsod of Davao City.

CERTIFIED CORRECT:

CHARITO N. SANTOS
Secretary to the Sangguniang Panlungsod
(City Government Department Head II)

ATTESTED:

J. MELCHOR B. QUITAIN JR.
Vice Mayor
Presiding Officer

APPROVED: _____, 2026

SEBASTIAN Z. DUTERTE
City Mayor

ATTESTED:

ATTY. FRANCIS MARK H. LAYOG
Acting City Administrator